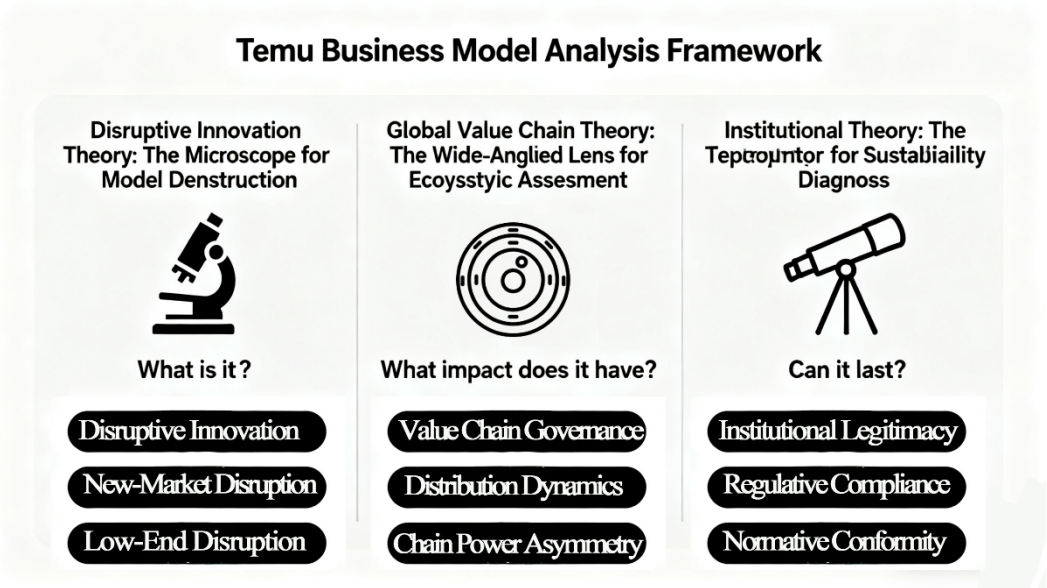
Chapter 4 Theoretical Foundation

4.1 Overall Analytical Framework: "Diagnostic" Three-Layer Perspective Model

To systematically analyze Temu's business model innovation, ecosystem impact, and sustainability challenges, this study constructs a "diagnostic" three-layer perspective model based on three core theories. The framework adopts a logic that progresses from surface to depth, from short-term to long-term, sequentially addressing three key questions:

1) What is it? – Using disruptive innovation theory to deconstruct the essence of Temu's business model.
2) What impact does it have? – Assessing Temu's impact on the industrial ecosystem based on global value chain theory.
3) Can it last? – Diagnosing Temu's sustainability challenges through institutional theory.



This analytical framework ensures tight integration between theoretical analysis and case study, with each theory serving a unique diagnostic function, collectively forming a comprehensive analytical system.

4.2 Disruptive Innovation Theory: The "Microscope" for Model Deconstruction

4.2.1 Core Theoretical Concepts

Disruptive innovation theory, proposed by Clayton Christensen, explains how emerging enterprises can ultimately disrupt existing market structures by introducing simpler, more convenient, and cheaper products or services, initially targeting marginal markets or new markets overlooked by mainstream players.

Key concepts of it include:

1) Performance Overshoot: When existing product performance exceeds most customers' needs, creating disruption opportunities for new entrants.
2) New-Market Disruption: Creating new value networks that attract previously non-consuming customer segments.
3) Low-End Disruption: Entering by meeting the most basic needs of overserved customers.
4) Value Network: The operating environment where firms identify customer needs, respond to competition, and generate profits.

4.2.2 Theoretical Application Positioning

In this case study, disruptive innovation theory serves as a "microscope" to deeply deconstruct how Temu, as a late market entrant, forms a disruptive value proposition against established e-commerce giants through its "ultra-low price + social fission" model. Specifically, this theory will help us analyze:

1) How Temu identifies and leverages "performance overshoot" in existing e-commerce markets.
2) How the "full hosting model" achieves extreme cost control and efficiency optimization.
3) Whether Temu's market entry path aligns with typical disruptive innovation patterns.

This theory provides the foundational framework for subsequent analysis of Temu's business model mechanics, ensuring analytical depth and practical relevance.

4.3 Global Value Chain Theory: The "Wide-Angle Lens" for Ecosystem Assessment

4.3.1 Core Theoretical Concepts

Global value chain theory, originating from international economics and industrial organization theory, analyzes the global network layout of products from R&D design, manufacturing, logistics distribution to marketing and after-sales service. The theory focuses on value creation, distribution, and control mechanisms, emphasizing:

1) Governance Models: Power relationships and coordination mechanisms among value chain participants.
2) Value Distribution: Patterns of value creation distribution within the value chain.
3) Upgrading Pathways: Processes of positional improvement for firms or regions within the value chain.
4) Power Asymmetry: The degree of control exerted by dominant firms over the value chain.

4.3.2 Theoretical Application Positioning

Global value chain theory acts as a "wide-angle lens" in this study, systematically scanning how the Temu model reshapes the cross-border e-commerce value chain of "Made in China - Global Consumption." This theory will help us:

1) Analyze Temu's governance role and power structure within the value chain.
2) Assess the impact of the Temu model on various stakeholders (suppliers, consumers, competitors) .
3) Reveal value distribution and power transfer phenomena during value chain restructuring.

Through this theoretical application, we can comprehensively understand Temu's systemic impact on the global e-commerce ecosystem, providing a macro perspective for subsequent problem diagnosis.

4.4 Institutional Theory: The "Telescope" for Sustainability Diagnosis

4.4.1 Core Theoretical Concepts

Institutional theory emphasizes that organizational behavior is driven not only by market factors but also deeply constrained by external institutional environments. Organizations need to obtain "legitimacy" to achieve sustainable development. Core constructs include:

1) Regulative Legitimacy: Compliance with laws, regulations, and policy requirements
2) Normative Legitimacy: Conformity with social values and moral standards
3) Cultural-Cognitive Legitimacy: Alignment with socially shared cognitive patterns
4) Institutional Pressure: Multiple constraint forces from the institutional environment

4.4.2 Theoretical Application Positioning

Institutional theory serves as a "telescope" in this study, providing forward-looking diagnosis of sustainability challenges facing Temu's aggressive globalization strategy. This theory will guide our analysis of:

1) Regulatory pressures and compliance challenges Temu faces in different national markets
2) Constraints imposed by normative institutional environments such as the ESG wave on the Temu model
3) Acceptance levels of Temu's business model affected by cultural-cognitive differences

Through institutional theory analysis, we can anticipate institutional obstacles Temu may encounter in the future, providing theoretical basis for sustainability assessment.

4.5 Theoretical Integration and Analytical Approach

4.5.1 Theoretical Synergy Relationship

The three theoretical frameworks employed in this study establish complementary and synergistic relationships that collectively provide a comprehensive analytical perspective. Disruptive innovation theory serves to illuminate the internal mechanics and operational logic of Temu's business model, revealing how its unique value proposition creates competitive advantages. Meanwhile, global value chain theory expands the analytical scope to assess the broader ecosystem impacts, examining how Temu reconfigures relationships among suppliers, distributors, and consumers across geographical boundaries. Finally, institutional theory introduces a forward-looking dimension by evaluating long-term sustainability considerations, particularly how Temu navigates complex regulatory environments and societal expectations. This multi-theoretical approach ensures a holistic understanding that moves from internal business model analysis to external ecosystem effects, and ultimately to enduring viability challenges, thus creating an integrated analytical framework capable of capturing both immediate competitive dynamics and prospective developmental trajectories.

4.5.2 Analytical Pathway Design

Based on theoretical integration, this study will follow this analytical pathway:

1) Model Deconstruction: Using disruptive innovation theory to analyze Temu's competitive essence
2) Impact Assessment: Evaluating ecological impacts through global value chain theory
3) Challenge Diagnosis: Identifying sustainability risks with institutional theory

This layered progressive analytical framework ensures systematic and in-depth research, providing clear theoretical guidance for subsequent case analysis.

Chapter 5: Case Study: Temu - A Diagnostic Analysis Based on the Three-Layer Perspective Model

5.1 Introduction

This chapter presents a comprehensive case study of Temu, rigorously applying the "diagnostic" three-layer perspective model established in Chapter 4. The analysis is structured to progress systematically from a micro-level examination of Temu's core business mechanics to a macro-level assessment of its long-term viability. Each layer of the framework is employed to diagnose a specific facet of Temu's strategy and its market position.

The sequencing of the analysis follows a deliberate, step-by-step logic: First, utilizing disruptive innovation theory as a "microscope," we will deconstruct the fundamental mechanics of Temu's business model. This initial analysis focuses on howTemu creates and

delivers its unique value proposition.

Second, adopting global value chain theory as a "wide-angle lens," we will scale the analysis outward to evaluate the profound impact of the Temu model on the broader industrial ecosystem, including suppliers, competitors, and market structures.

Finally, through the "telescope" of institutional theory, we will project forward to diagnose the critical sustainability challenges Temu faces, focusing on its ability to secure legitimacy within the complex institutional environments of its target markets.

Crucially, this diagnostic process will be substantiated through a continuous comparative analysis with established e-commerce giants, primarily Amazon. This comparative approach serves to validate our analysis by clearly delineating Temu's disruptive entry strategy against the benchmarks of incumbent business models. By systematically contrasting Temu's cost structure, value proposition, and governance model with those of traditional platforms, we can empirically ground the theoretical application and clearly illuminate the sources and implications of Temu's disruptive impact on the global e-commerce landscape.

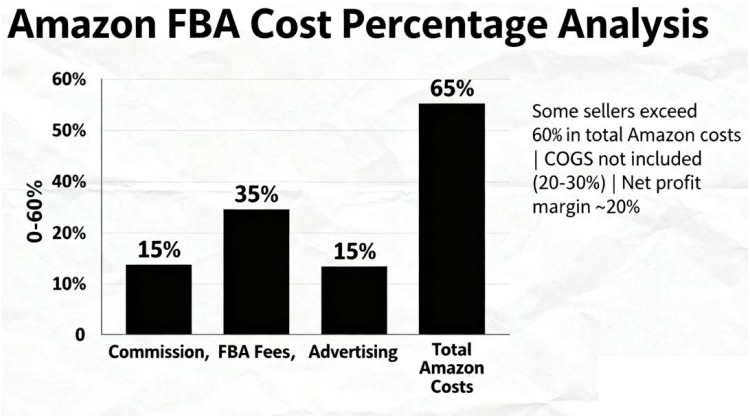
5.2 Model Deconstruction: The Disruptive Innovation of Temu (The Microscope)

5.2.1 Identifying and Leveraging Performance Overshoot in the E-commerce Market

The core of Temu's disruptive strategy lies in its sharp contrast with the established model of giants like Amazon. While Amazon has built a premium ecosystem focused on speed and convenience, Temu identified that this model has become increasingly misaligned with the realities of the post-pandemic, high-inflation economy. Amazon's system, though efficient, creates a high-cost environment that is vulnerable to a more agile, price-focused competitor.

Amazon's High-Cost Model: A Burden in an Inflationary Era:

The FBA system, while a masterpiece of logistical efficiency, establishes a fundamentally high-cost economic model for sellers. The "Amazon FBA Cost Percentage Analysis" chart (Figure 5.2.1-1) quantifies this burden with striking clarity: sellers face a staggering 65% in total Amazon-related costs, comprising a 15% commission, ~35% in FBA fulfillment fees, and an additional ~15% in advertising spend just to remain visible. This formidable cost structure does not even include the Cost of Goods Sold (COGS, typically 20-30%), brutally squeezing the net profit margin to a precarious ~20%.

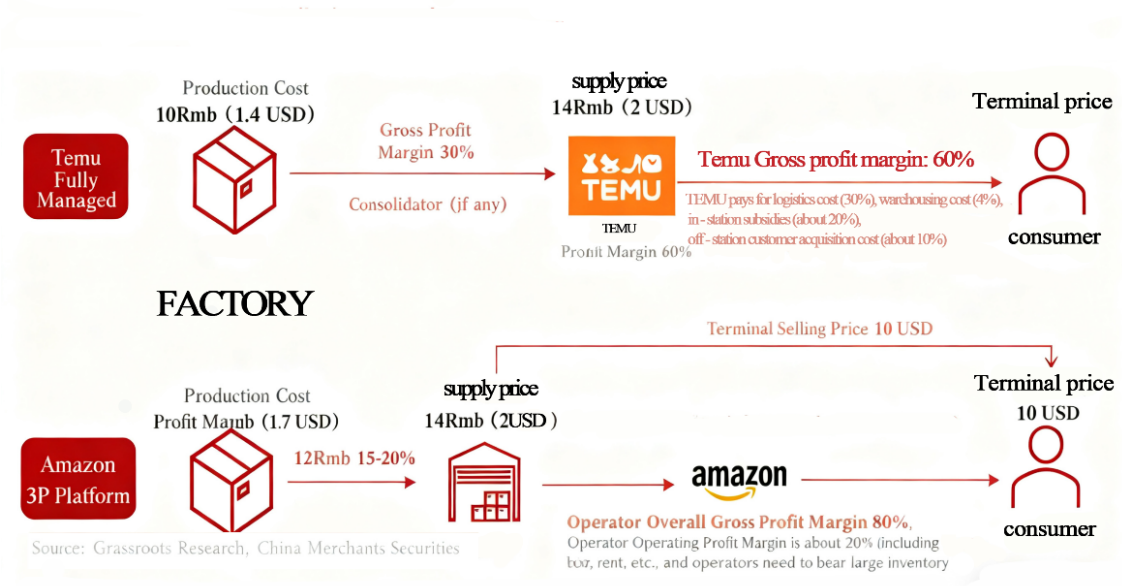


5.2.1-1 Amazon FBA Cost Structure Analysis for Third-Party Sellers

This data reveals the core logic of Amazon's ecosystem. Sellers are compelled into this high-cost model by the promise of the "Prime" badge and access to a premium customer base. However, Amazon's primary goal is not to profit from logistics but to maximize platform GMV and its own high-margin revenue streams—chiefly advertising and commissions—by accelerating inventory turnover. Consequently, the immense cost of maintaining this premium logistics and marketplace ecosystem is systematically transferred to sellers, as vividly illustrated by the 65% cost burden. These costs are inevitably factored into the final product prices, resulting in a marketplace optimized for speed and service but inherently hostile to low-price positioning, effectively pricing out budget-conscious consumers.

Temu's Model: Winning by Simplifying and Absorbing Costs:

In stark contrast, Temu's fully-hosted model fundamentally reengineers the value chain for maximum cost efficiency. The platform acts as a bulk buyer, offering suppliers a clear path to market but at a lower gross margin (30% for the factory vs. 60% for the Amazon operator).



5.2.1-2 Cost Structure and Profit Allocation: A Comparison of Temu's Fully Managed Model and Amazon's 3P Marketplace

Temu then centralizes and absorbs key costs that plague individual Amazon sellers: Temu pays for logistics (30%), warehousing (4%), and customer acquisition (~10% off-site, ~20% in-site promotions). By aggregating massive volume, Temu can leverage its scale to manage these costs more efficiently than any single seller could. Crucially, it shifts inventory risk and major capital investment away from individual operators and onto the platform itself.

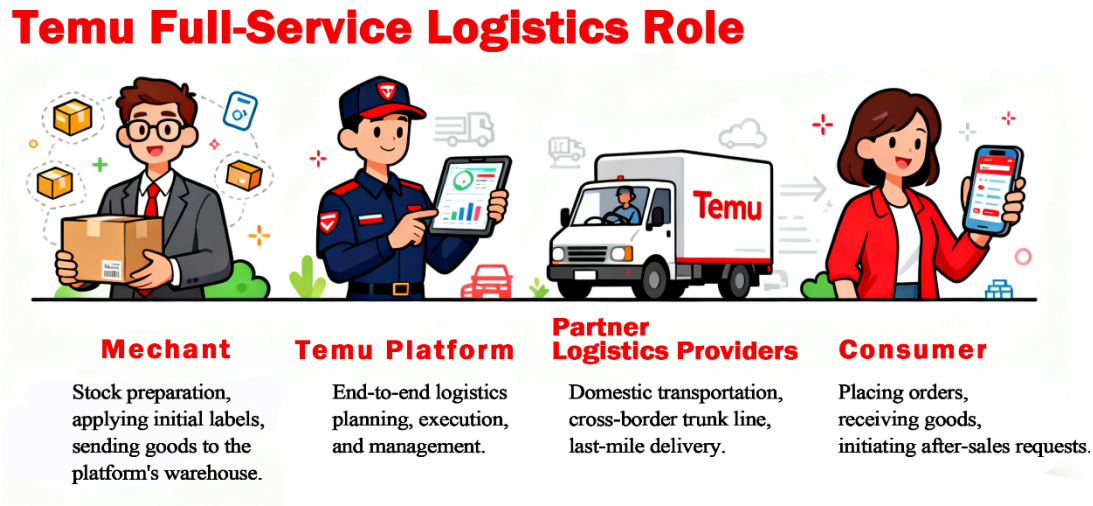
This analysis proves that Temu's choice is a calculated response to economic reality. While Amazon offers a premium service at a premium price, Temu offers a "good enough" product at an irresistible value. By eliminating the high costs associated with seller autonomy (advertising, complex logistics, inventory risk), Temu delivers what matters most in a period of inflation: radical affordability. Its model is not just different; it is strategically superior for capturing the vast, price-sensitive segment of the market that finds the incumbent's value proposition economically overserved.

5.2.2 The "Full-Hosted Model" as a Disruptive Engine: A Microscopic Deconstruction

Having established the stark contrast between Temu's cost-efficient approach and Amazon's high-cost model in the previous section, this part delves deeper to deconstruct the internal mechanics of the "full-hosted model." Utilizing disruptive innovation theory as a microscope, we shift from whatthe model is to howit operates as a powerful engine for disruption. The model's efficacy can be broken down into three interconnected components: its core operational principle, its resulting strategic advantages, and the ultimate value proposition it enables.

1. Role Specialization: The Foundation of Efficiency

The operational logic of Temu's model is best understood by analyzing the distinct and highly specialized roles of its participants, as clearly delineated in Figure 5.2.2-1. This division of labor is not merely functional but strategic, enabling the model's core efficiencies.



5.2.2-1: Role Distribution in Temu's Full-Hosted Model

The Merchant as a Pure Product Supplier: The seller's role is narrowly focused on production and domestic warehousing. Their responsibilities are limited to stock preparation, applying initial labels, and sending goods to the platform's designated warehouse in China. This dramatically lowers the barrier to entry for manufacturers, allowing them to focus solely on their core competency: producing goods at the lowest possible cost.

The Temu Platform as the Central Nervous System: Temu transforms from a marketplace into an integrated supply chain manager. It assumes total control over end-to-end logistics planning, execution, and management. This includes everything from international shipping and customs clearance to last-mile delivery and customer service. This centralization is the key to achieving uniformity and scale efficiency.

Partner Logistics Providers as Modular Executors: Logistics partners are reduced to modular service providers, executing specific legs of the journey (domestic transport, cross-border trunk line, last-mile delivery) as directed by the Temu platform. They are cogs in a machine orchestrated by Temu, rather than strategic partners chosen by individual sellers.

The Consumer's Simplified Interaction: The consumer interacts only with the seamless Temu brand interface—placing orders, receiving goods, and initiating after-sales requests—completely insulated from the complexity of the backend operations.

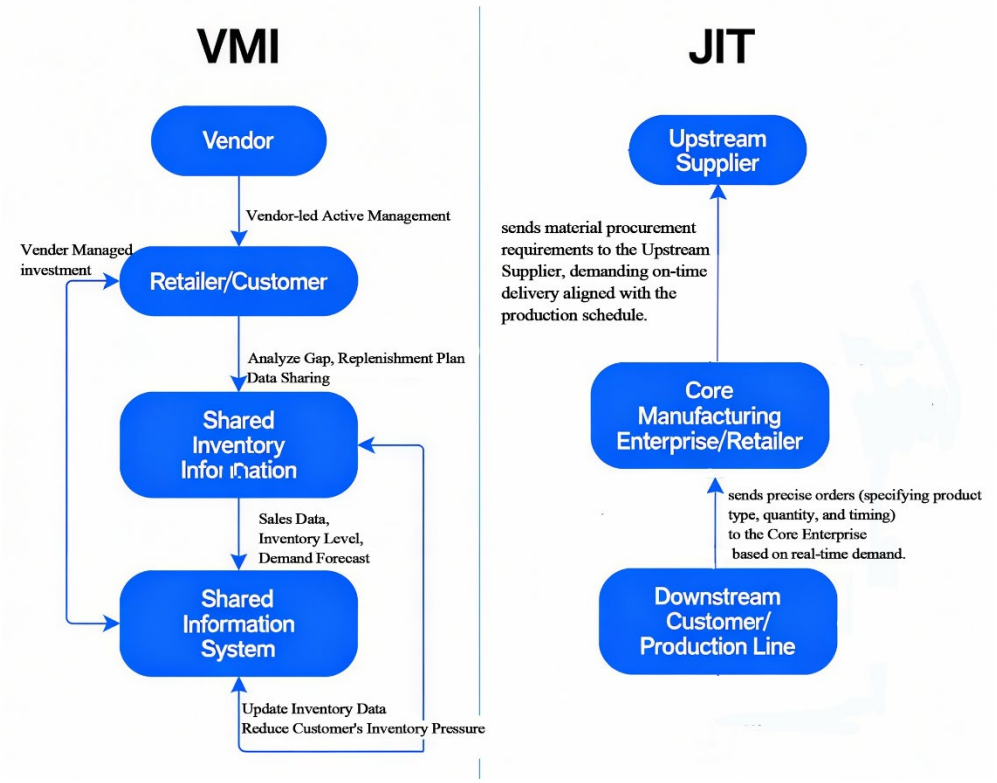
2. Operational Mechanics: The VMI/JIT Framework and Its Double-Edged Sword

The operational logic of Temu's model is best understood by analyzing the distinct and highly specialized roles of its participants, as delineated in Figure 5.2.2-1. This division of labor eliminates traditional intermediaries and streamlines the "Factory-Platform-Consumer" chain. This streamlining is operationalized through two primary inventory management modes: Vendor Managed Inventory (VMI) and Just-In-Time (JIT), which cater to different

seller capabilities and product types.

The VMI Mode ("Stock First, Sell Later"): In this model, sellers pre-stock their goods in Temu's domestic warehouses upon securing allocation. While this requires sellers to bear upfront inventory costs and risk, it significantly reduces their logistical burden by having Temu cover half of the inbound shipping fees and manage all subsequent storage and fulfillment. This mode ensures faster delivery for in-demand items.

The JIT Mode ("Sell First, Ship Later"): This presell model allows sellers to list products without pre-stocking, only shipping upon order confirmation. It minimizes the seller's inventory risk but imposes stringent delivery timelines to the Temu warehouse, with penalties for delays.



5.2.2-2:Comparative Analysis of Supply Chain Management Models: VMI vs. JIT

This dual-mode system, combined with the platform's centralization of marketing, sales, and logistics, aggressively compresses costs by removing redundancies and leveraging scale. It provides a turnkey solution that dramatically lowers the barrier to global e-commerce, especially for manufacturers and novice sellers lacking international operation experience.

3. Strategic Advantages: The Genesis of Disruptive Growth

The core advantages of this model are the direct drivers of Temu's explosive growth. By acting as the bulk purchaser and central manager, Temu achieves:

Radical Cost Control: The aggregation of massive order volumes grants Temu unprecedented bargaining power, enabling ultra-low procurement prices. The centralized operational model eliminates the cost inefficiencies of a fragmented marketplace.

Unparalleled Scalability: The VMI/JIT framework allows Temu to onboard a vast number of suppliers and manage an enormous SKU count efficiently, creating the "online discount store" experience that attracts millions of consumers.

Lowered Barriers to Global Trade: Manufacturers can become global exporters overnight by focusing solely on production, leaving complex cross-border challenges to the platform. This unlocked a massive, previously untapped reservoir of supply.

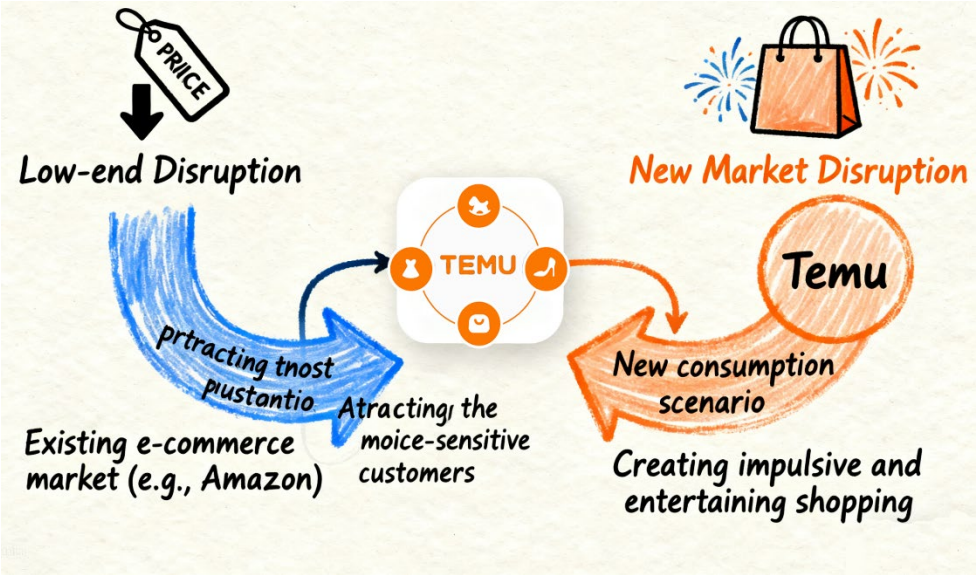
4. Navigating Inherent Challenges: A Balanced Perspective

It is important to acknowledge that the model's intense focus on efficiency creates inherent tensions. Sellers cede pricing autonomy, facing continuous pressure to lower costs, which squeezes profit margins and can lead to a "race to the bottom" among suppliers. Furthermore, the high degree of centralization places immense strain on Temu's own logistics 履约 capabilities; rapid order growth can test warehouse capacity, and high return rates in international markets present ongoing logistical and cost challenges.

However, while these challenges are non-trivial, they can be viewed as growing pains of a radically innovative model rather than fundamental flaws. The model's core value proposition—providing unprecedented affordability by fundamentally re-engineering the value chain—has proven overwhelmingly powerful in attracting a global customer base, particularly in an inflationary era. The platform's ability to continuously attract upstream manufacturers ensures a relentless expansion of product variety and competitive pricing. Therefore, although the model presents challenges for certain seller profiles and demands continuous operational optimization from Temu, its overwhelming advantages in cost efficiency and scalability remain the primary factors fueling its disruptive growth and solidifying its position as a formidable force in the global e-commerce landscape.

5.2.3 Defining Temu's Disruptive Path: A Dual-Pronged Strategy

The analysis of Temu's business model would be incomplete without precisely locating its trajectory within the framework of disruptive innovation theory. As illustrated in the conceptual map (Figure 5.2.3-1), Temu's market entry does not follow a single path; instead, it executes a dual-pronged strategy, simultaneously embodying characteristics of both low-end disruption and new-market disruption. This dual approach has been instrumental in its rapid capture of diverse consumer segments.



5.2.3-1: Temu's Dual Disruption Strategy Framework

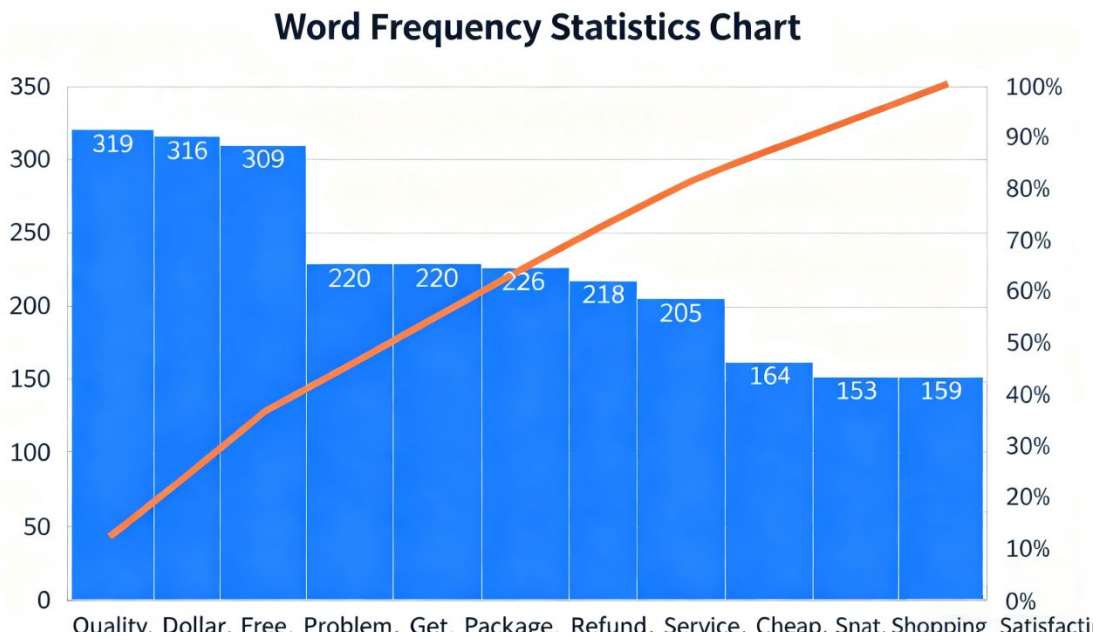
Path 1: Low-End Disruption - Attracting the Most Price-Sensitive Customers

Temu's initial and most evident path is low-end disruption. It directly targets the bottom segment of existing e-commerce markets (e.g., Amazon, Wish, AliExpress) by offering a "good enough" alternative at a dramatically lower price. This strategy is highly effective in an inflationary environment where consumers become more budget-conscious.

Target Audience: Consumers who are overserved by the premium offerings of incumbents. They do not require ultra-fast shipping for non-essential items and are willing to trade speed and brand assurance for radical affordability.

Value Proposition: The core appeal is unequivocally price. Temu wins by solving the primary pain point of cost for this segment.

Evidence: The theory of low-end disruption is powerfully validated by direct user feedback. Text mining and sentiment analysis of App Store reviews up to 2025, detailed in Figure 24, reveal that the most frequent keyword mentioned by users is " price," with a high frequency of 405 occurrences. This is closely followed by the positive affirmation " good" at 484 occurrences. The dominance of these terms provides compelling empirical evidence that cost-conscious shoppers are not only migrating to Temu but are actively endorsing its core value proposition of acceptable quality at an ultra-low price. This data directly corroborates the phenomenon of low-end disruption, where users overserved by incumbent platforms migrate to a simpler, more affordable alternative.



5.2.3-2:Analysis of Consumer Review Keywords and Cumulative Frequency Distribution

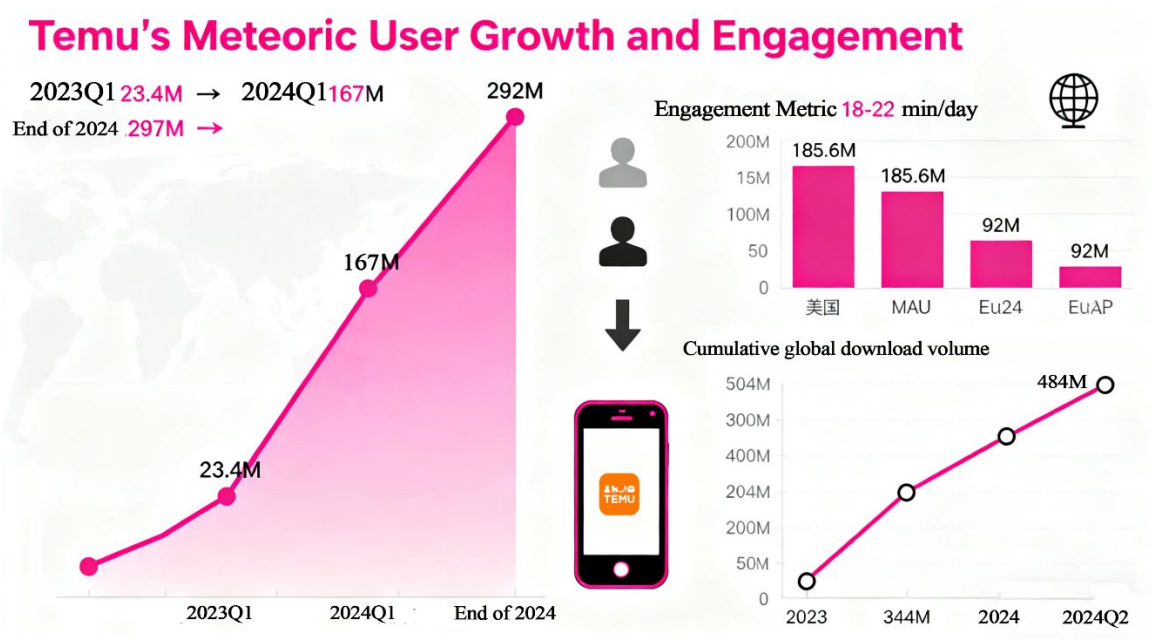
Path 2: New-Market Disruption - Creating Impulsive, Entertainment-Driven Shopping Scenarios

Perhaps more profound is Temu's role as a new-market disruptor. It does not just compete for existing shopping budgets; it expands the total market by creating new consumption occasions. It transforms shopping from a goal-oriented task (e.g., "I need a new phone case") into an entertainment-driven, impulsive discovery process.

Target Audience: "Non-consumers" of traditional cross-border e-commerce who may have been deterred by complexity or high minimum order values. It also attracts users seeking digital entertainment and "retail therapy."

Value Proposition: The appeal here is the experience—the "treasure hunt" feeling, the gamified interface (e.g., mini-games, rewards), and the social fission model that encourages sharing. The low price point per item lowers the barrier for impulsive purchases.

Evidence: The high volume of small-ticket, impulsive purchases and the significant time users spend browsing the app without a specific purchase goal underscore its success as a new-market creation.



5.2.3-3: Temu's Meteoric User Growth and Key Engagement Metrics

In conclusion, Temu's disruptive power is amplified by this dual-path strategy. It not only captures market share from incumbents by being a cheaper alternative (low-end disruption) but also grows the entire pie by converting browsing into an entertainment activity and attracting new consumers (new-market disruption). This sophisticated approach makes its disruption more resilient and its market position more formidable.

5.2.4 Chapter Summary

In summary, the analysis conducted through the "microscope" of disruptive innovation theory conclusively positions Temu as a quintessential example of a market entrant that successfully identifies and exploits performance overshoot within the established e-commerce landscape. The diagnosis reveals a threefold strategic insight:

First, Temu astutely recognized that the high-cost, service-intensive model of incumbents like Amazon, while delivering premium value, had created a significant overshoot for a massive segment of price-sensitive consumers, particularly in a post-pandemic, inflationary era. Second, in response, Temu engineered the "full-hosted model" as its core disruptive engine. This model, characterized by extreme role specialization and the strategic use of VMI/JIT inventory systems, achieves radical cost control by centralizing operations and shifting complexities away from suppliers, thereby enabling an unmatched value proposition of ultra-low prices.

Finally, Temu's market entry exemplifies a dual-path disruptive strategy. It simultaneously executes a low-end disruption by capturing cost-conscious customers from existing platforms and fosters a new-market disruption by creating novel, entertainment-driven shopping

scenarios that expand the total consumer base. Empirical evidence, from cost-structure comparisons to user review analytics, robustly supports this diagnosis. Therefore, this section confirms that Temu's rapid ascent is not accidental but is fundamentally driven by a business model meticulously designed to leverage the vulnerabilities of incumbents and cater to underserved market segments.